

ENGLISH **LIVE**

37

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 37

20th MARCH, 2017

Return to normal

By pointing to gradual rate increases, the Fed reassures markets and policymakers

The U.S. Federal Reserve has resumed normal monetary service by raising interest rates for the second time in three months. The Fed's decision on Wednesday reflects its confidence in the continuing expansion and signals that its efforts to reflate the world's largest economy are largely on track – with overall inflation seen to be stabilising around its longer-run target of 2% over the next couple of years. Significantly, Chair Janet Yellen stressed that policymakers expect the strengthening economy would warrant “gradual increases” in the benchmark federal funds rate to ensure that the monetary policy stance remains accommodative of growth, even as price stability is ensured. This emphasis on “gradual” provides a degree of policy predictability that markets, for now, can broadly factor in two more rate increases of one quarter of a percentage point each for the rest of 2017 – especially when coupled with a median projection for the signalling rate to reach 1.4% at the end of the year, from the current 0.75%-1.0% range. The statement has allayed fears of an accelerated rate normalisation, that could have triggered a sharp jump in outflows from emerging markets such as India. Investors worldwide are bound to feel more reassured that one of the world's key economic engines is in good shape and that should bode well for global demand. India's exporters, including of software services, are also likely to see a silver lining in the Fed chief's reference to a distinct firming in business investment, after having been soft in 2016, that has helped put business sentiment at “favourable levels”.

Ms. Yellen also flagged caveats to the Fed's projections. Availing that policy is “not on a pre-set course”, she pointed to the potential impact that changes in fiscal policy, among other factors, could have on the economic outlook. While acknowledging that it is still too early to anticipate exactly how the Trump administration's fiscal policies may unfold, the central bank is intimating that it will be closely monitoring the new dispensation's broad budget plans and remains ready to change policy tack if it were to perceive any risks to its price stability goals. There is also the matter of when the Fed may decide to initiate the process of normalising its balance sheet. Given that the central bank's holdings of Treasury bonds and mortgage-backed securities reached record levels in the aftermath of the 2008 financial crisis, any plan to begin unwinding these holdings will need to be very carefully calibrated and communicated in advance to ensure that global markets don't witness a repeat of the ‘taper tantrum’ of 2013. Ms. Yellen stressed just that when she said the Fed “as a matter of prudent planning” had discussed issues related to an eventual change to its reinvestment policy and, while no decisions were taken, would ensure that the process be “gradual and predictable”.

DISCUSSION ON 20th Mar (Today)

Last gasp tasks

After the agreement on all GST bills, the rate fitment process needs to be addressed

At its twelfth meeting last Friday, the Goods and Services Tax (GST) Council cleared all the requisite State and Central-level legislative measures to implement the indirect tax regime. The State and Union Territories' GST bills were approved along with necessary corrections to the three other GST Bills the Council had cleared previously – for Central GST, Integrated GST and compensation to States through a cess. This paves the way for State Assemblies and Parliament to ratify these laws quickly in order to meet the proposed July 1 rollout date for the system. Finance Minister Arun Jaitley has said the Union Cabinet will soon take up the four laws that the Centre has to steer through Parliament, while the respective State governments will take up the State GST law. Separately, officers from the States and the Centre are expected to finalise, by this weekend, drafts for four pending regulations out of a total of nine, that lay down the administrative procedures and processes to be followed by taxpayers under the GST regime. The Council will meet again on March 31 to consider those drafts. This will give the Centre enough buffer to make the transition to the new system.

Though industry has indicated that it needs at least three months to prepare for the GST once it sees the final print, one major action will still be pending on April 1. That action – the fitment of thousands of commodities and services into the five GST rate slabs (zero, 5%, 12%, 18% and 28%) – could prove to be among the trickiest for the Council. The rate fitment process, unlike legislative nuances, is more susceptible to lobbying not just from different sections of industry, but also States that would like a favourable tax treatment for products and services they excel in. For instance, the GST Council has now approved a ceiling on the cess that could be imposed over and above the highest GST rate of 28% on pan masala, chewing tobacco and cigarettes, luxury cars and aerated drinks. For all such ‘sin goods’, the cess ceiling has been set higher under the GST than the level necessary to maintain the present level of taxation. But beedis have been kept out of the cess net altogether in order to avoid friction with States that could delay the broader reform. Despite such pulls and pressures, in a best-case scenario the rate-setting process should take at least a fortnight and the Council could meet some time in April to approve the rates. Giving lakhs of enterprises just about two months to switch to the GST regime, with all its implications for supply chains, pricing strategies and accounting systems, could lead to a messy start. The Centre must keep its mind open on pushing forward the rollout by a month or so, while industry should rise above heckling over rates and invest more lobbying energy on bigger worries, such as the GST's penal anti-profiteering clauses.

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WHAT ARE THE CENTRAL BANKS OF ADVANCED COUNTRIES?



BANK OF JAPAN



Janet Yellen

Chair, Federal Reserve



MONETARY POLICY

1

RESERVE RATIOS

CRR

SLR

2

POLICY RATES

REPO

REVERSE REPO

MSF

BANK RATE

3

OPEN MARKET OPERATIONS

BUYING AND
SELLING OF BONDS



MONETARY POLICY

MONETARY EXPANSION



BRING MORE
MONEY IN TO
CIRCULATION



MORE DEMAND
FOR GOODS



MORE PRODUCTION

GDP GROWTH DRIVERS

1

FISCAL POLICY



सत्यमेव जयते

2

MONETARY POLICY



3

ELIMINATING STRUCTURAL BOTTLENECKS



सत्यमेव जयते

MONETARY POLICY

If CRR is reduced to 3%...



Rs. 90,000 crore




बैंक ऑफ बड़ौदा
Bank of Baroda

 **State Bank of India**

 **AXIS BANK**

 **ICICI Bank**
khayaal aapka

 बैंक ऑफ इंडिया
Bank of India
Relationships beyond banking.

केनरा बैंक
Canara Bank 

MONETARY POLICY

MONETARY EXPANSION



**MORE CREDIT
OFF-TAKE**



Reliance
Industries Limited



It will create more demand and GDP will grow



बैंक ऑफ बड़ौदा
Bank of Baroda



State Bank
of India



AXIS BANK



ICICI Bank
khayaal aapka



बैंक ऑफ इंडिया
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WHAT THESE BANKS OF ADVANCED COUNTRIES ARE DOING TILL NOW?



1 Keeping benchmark interest rates at zero or near zero levels.

3 Some are resorting to massive bond buying programmes.

2 Some central banks are resorting to negative interest rates.

4 Some even talking of Helicopter money.

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Reflate

*Advanced economies are resorting to near zero interest rates basically with a view to **reflate** their economies.*



Reflate

It is increasing the amount of money in the economy by reducing the taxes and interest rates

FEDERAL FUNDS RATE

- 1** Federal Funds Rate is increased slightly and is now at 0.75% - 1.0%.
- 2** Federal Funds Target Rate is decided by Federal Reserve in FOMC meetings.
- 3** FFER is weighted average of the rate across all the banks.
- 4** Now, inflation is at the target range of 2%.

Warranted



To make a particular activity necessary

Warranted

Stance

*The Govt. took tough
stance against terrorism*



Stance

A particular way of thinking about something, when they are expressed publicly

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Median

*The **median** age for marriage in the USA is 26 for women and 28 for men as per the recent statistics.*



Median

It is the middle one in a set of values arranged in the order of size

Allay



The peace prevailing in XXX city **allayed** the fears of communal polarisation after the elections.

Allay

To put to rest fear, doubt or suspicion



She is taking pain killers to **allay** her pain subsequent to her fall in wash room.

Allay

To lessen or relieve

Accelerated

*India should start
moving at an
accelerated pace to
alleviate poverty.*



Accelerated

Much faster/ faster than usual

Trigger

*The police crackdown on the protestors in Deraa **triggered** the political crisis in Syria in 2011*



Trigger

An event or situation that causes something to start / normally initiation for something bad

FOREIGN PORTFOLIO INVESTMENTS (FPIs)

EXCESSIVE CAPITAL FLOWS



USA



EU



Capital flows

1 Asset bubbles

2 Appreciation in currencies

1



2



FOREIGN PORTFOLIO INVESTMENTS (FPIs)

CAPITAL FLIGHT



USA



EU



Capital flight

1



1 Asset crashes

2 Depreciation in currencies

2



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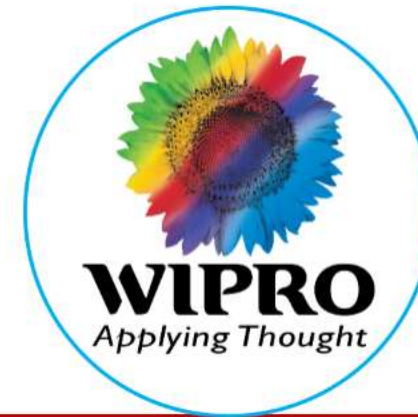
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Bode

*The recently published quarterly results of software companies do not **bode** well for the future of the software sector.*

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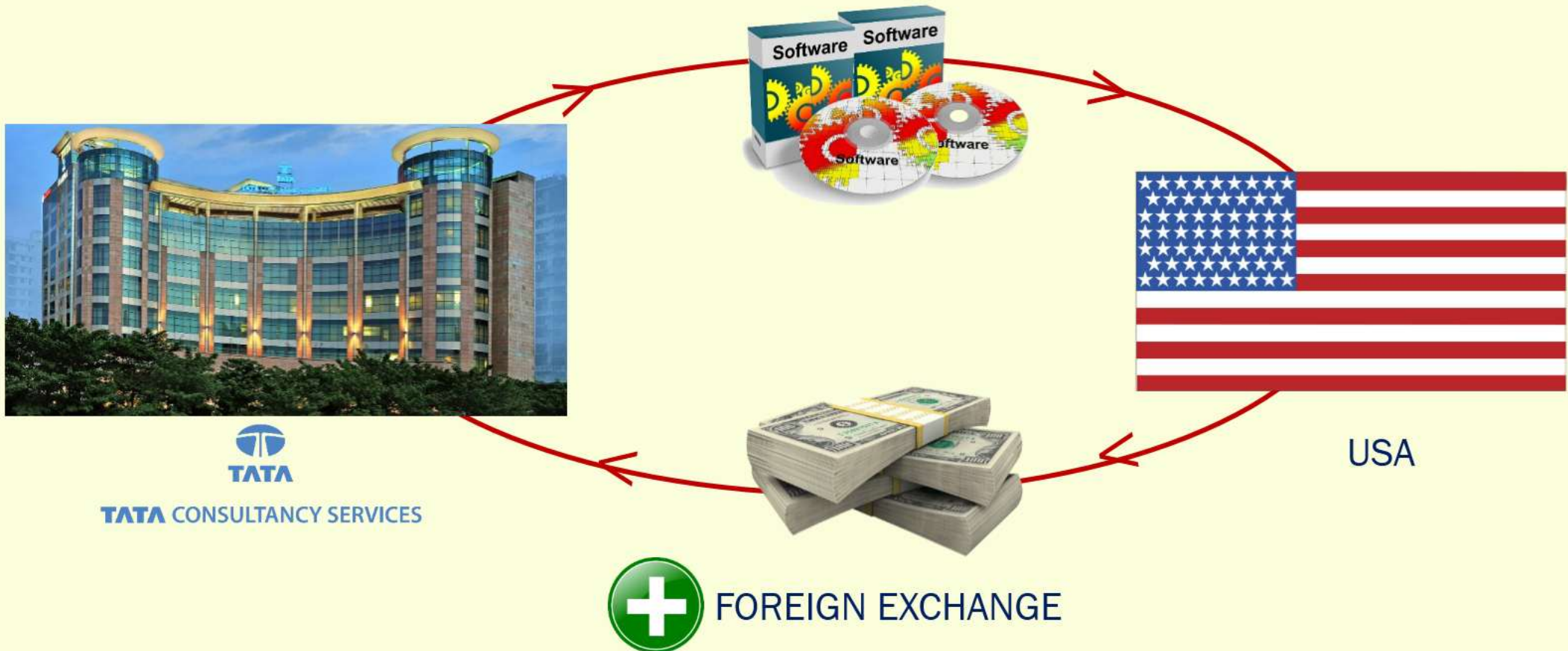


Bode

It is sign of something that will happen in the future, usually something very good or bad

INTERNATIONAL TRADE

EXPORTS

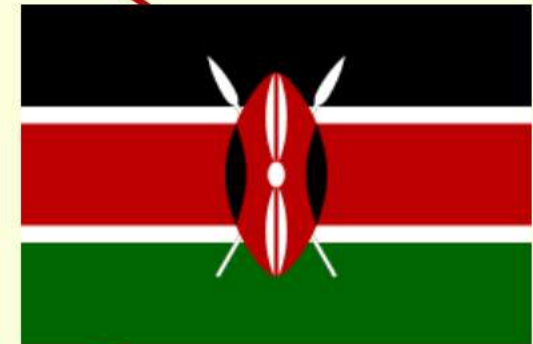


INTERNATIONAL TRADE

EXPORTS



Textile Machinery



Kenya



FOREIGN EXCHANGE

INTERNATIONAL TRADE

IMPORTS



INTERNATIONAL TRADE

IMPORTS

Software of IoT,
Cloud, Analytics



USA



India



FOREIGN EXCHANGE

Silver lining

*Raghu Kumar is suffering from mild hypertension but the **silver lining** is that it made him more and more disciplined person with daily morning walks and controlled dietary habits.*



Silver lining

To indicate every difficult situation has some advantage

Distinction



*There is a clear **distinction** in the dialects spoken
in western UP and Bihar*

Distinction

Difference between two similar things

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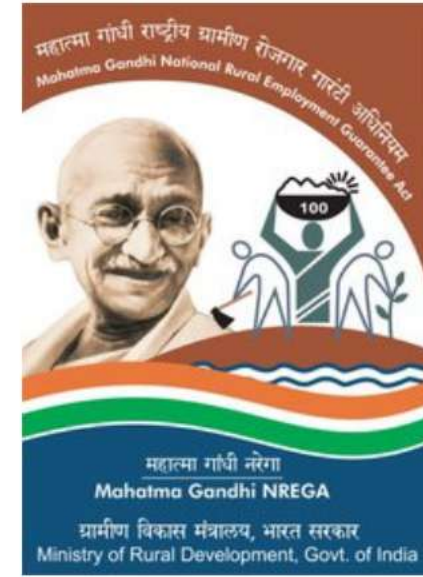
LEARNING SPACE

Ms. Yellen also **flagged caveats** to the Fed's projections. **Averting** that policy is "not on a pre-set course", she pointed to the **potential** impact that changes in fiscal policy, among other factors, could have on the economic outlook.



LEARNING SPACE

...Transforming Human Lives

Flagged

*The report **flagged** several discrepancies in the operation of MGNREGA.*

Flagged

To mark for attention

Caveat

*India can fast track digital transactions to reduce corruption but the **caveat** is poor digital literacy in rural areas.*



Caveat

Warning to consider something before going ahead / a statement that limits a more general statement

Aver

The advocate **averred** his client's innocence in the murder case of XXX



Aver

To indicate that something is certainly true

Potentially

*It is **potentially** dangerous to travel during night time in some areas of Detroit.*



Potentially

Possibility that something might happen / possibility of becoming actual

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Acknowledge

*After the marathon Board Meeting of XXX company, the CMD **acknowledged** that he has been at fault.*



Acknowledge

To admit/accept/recognise something / to accept the truth or existence of something

Anticipate

*CMD of any company must **anticipate** the constraints, which are likely to emanate in the near future*



Anticipate

To imagine or expect that something will happen

Tack

*In the present day dynamic environment, the software firms must be in a position to change **tack** as and when required and also embrace the new technologies.*



TATA CONSULTANCY SERVICES

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Cognizant



Tack

To change direction

Return to normal

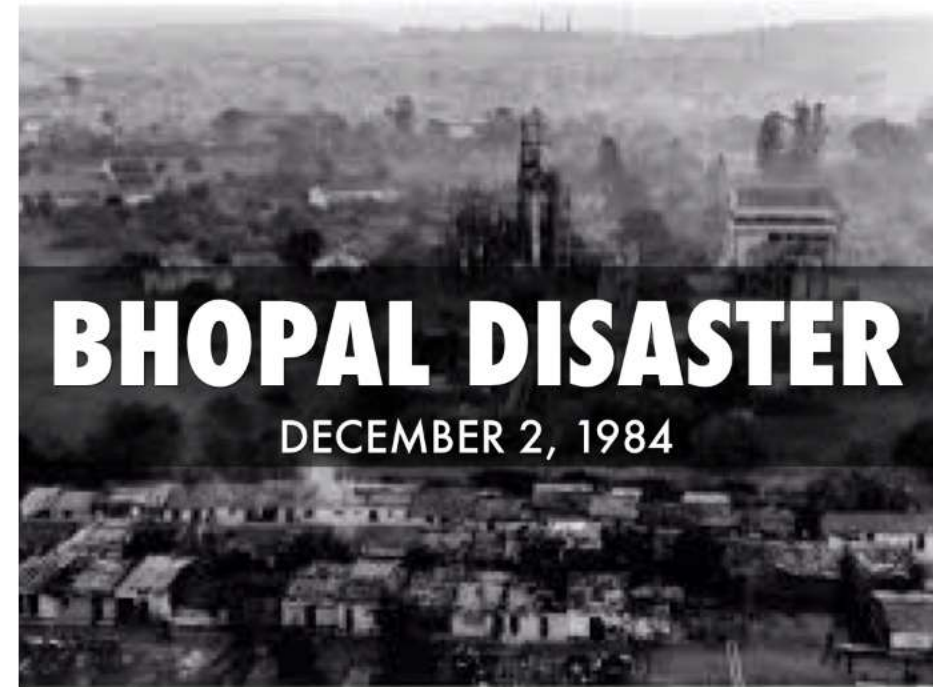
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Aftermath

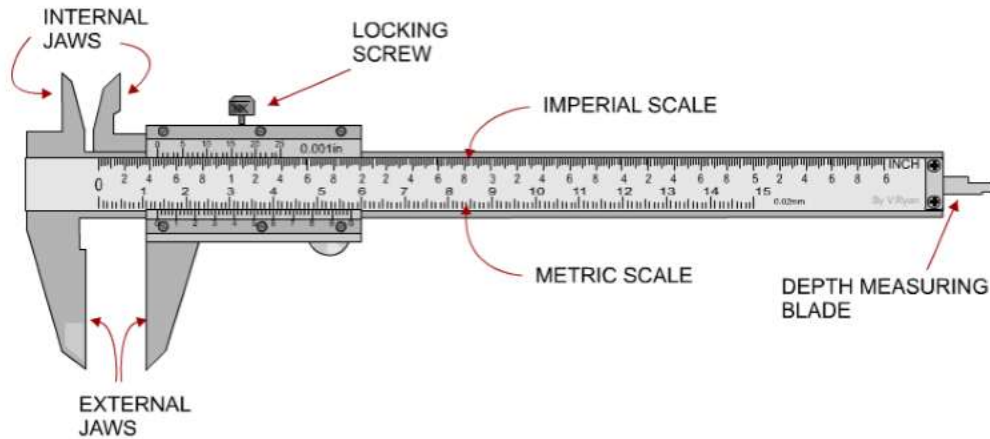
*Several people died /
physically disabled in the
aftermath of Bhopal gas
tragedy in 1984.*



Aftermath

The period that follows an unpleasant event / accident

Calibrate



Calibrate



*The financial sector
regulators should properly
calibrate the risks
involved.*

Calibrate

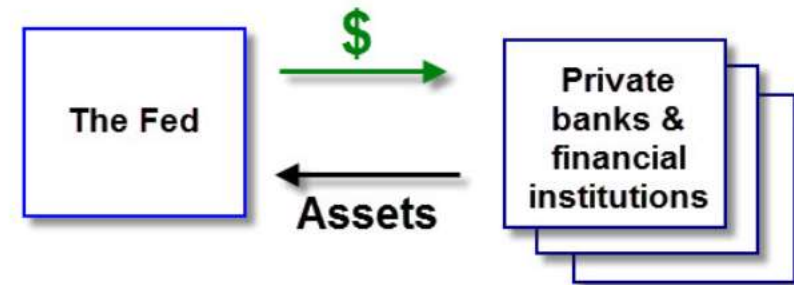
*Carefully assess, set or
adjust*

Taper Tantrum

- Panic after hearing the news of tapering of quantitative easing is taper tantrum
- It resulted from the USA Central Bank's decision in 2013 to gradually reduce Quantitative Easing.
- Quantitative Easing is the amount of money that was put into the system, which gives everyone extra money.



Quantitative Easing



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Prudent

*RBI is consistent and
prudent in regulating
commercial banks in our
country.*



Prudent

Careful planning in making decisions or spending money to avoid unnecessary risks

Eventual

*Government is
introducing GST, but
eventually common man
must be benefited*



Eventual

Occurring or existing at the end of or as a result of a process or a period of time

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